

(3) IT DOES SOMETHING DISAGREEABLE

Better than boring alone is a stock that's boring and disgusting at the same time. Something that makes people shrug, retch, or turn away in disgust is ideal. Take Safety-Kleen. That's a name with promise to begin with—any company that uses a *k* where there ought to be a *c* is worth investigating. The fact that Safety-Kleen was once related to Chicago Rawhide is also favorable (see "It's a Spinoff" later in this chapter).

Safety-Kleen goes around to all the gas stations and provides them with a machine that washes greasy auto parts. This saves auto mechanics the time and trouble of scrubbing the parts by hand in a pail of gasoline, and gas stations gladly pay for the service. Periodically the Safety-Kleen people come around to remove the dirty sludge and oil from the machine, and they carry the sludge back to the refinery to be recycled. This goes on and on, and you'll never see a miniseries about it on network TV.

Safety-Kleen hasn't rested on the spoils of greasy auto parts. It has since branched out into restaurant grease traps and other sorts of messes. What analyst would want to write about this, and what portfolio manager would want to have Safety-Kleen on his buy list? There aren't many, which is precisely what's endearing about Safety-Kleen. Like Automatic Data Processing, this company has had an unbroken run of increased earnings. Profits have gone up every quarter, and so has the stock.

Or how about Envirodyne? This one was pointed out to me a few years ago by Thomas Sweeney, then Fidelity's forest products analyst and now the manager of Fidelity Capital Appreciation Fund. Envirodyne passes the odd name test: it sounds like something you could bounce off the ozone layer, when actually it has to do with lunch. One of its subsidiaries, Clear Shield, makes plastic forks and straws, the perfect business that any idiot could run, but in reality it has topflight management with a large personal stake in the company.

Envirodyne is number two in plastic cutlery and number three in plastic straws, and being the lowest-cost producer gives it a big advantage in the industry.

In 1985, Envirodyne started negotiating to buy Viskase, a leading producer of intestinal byproducts, particularly the casings surrounding hot dogs and sausages. They got Viskase from Union Carbide at a bargain price. Then in 1986 they bought Filmco, the leading producer of the PVC film that's used to wrap leftover food items. Plastic forks, hot-dog casings, plastic wrap—pretty soon they'll take over the family picnic.

Largely as a result of these acquisitions, the earnings increased from 34 cents a share in 1985 to \$2 a share in 1987—and should top \$2.50 in 1988. The